285A.T - Kioxia Holdings

Full investment research | Model assumptions and source evidence

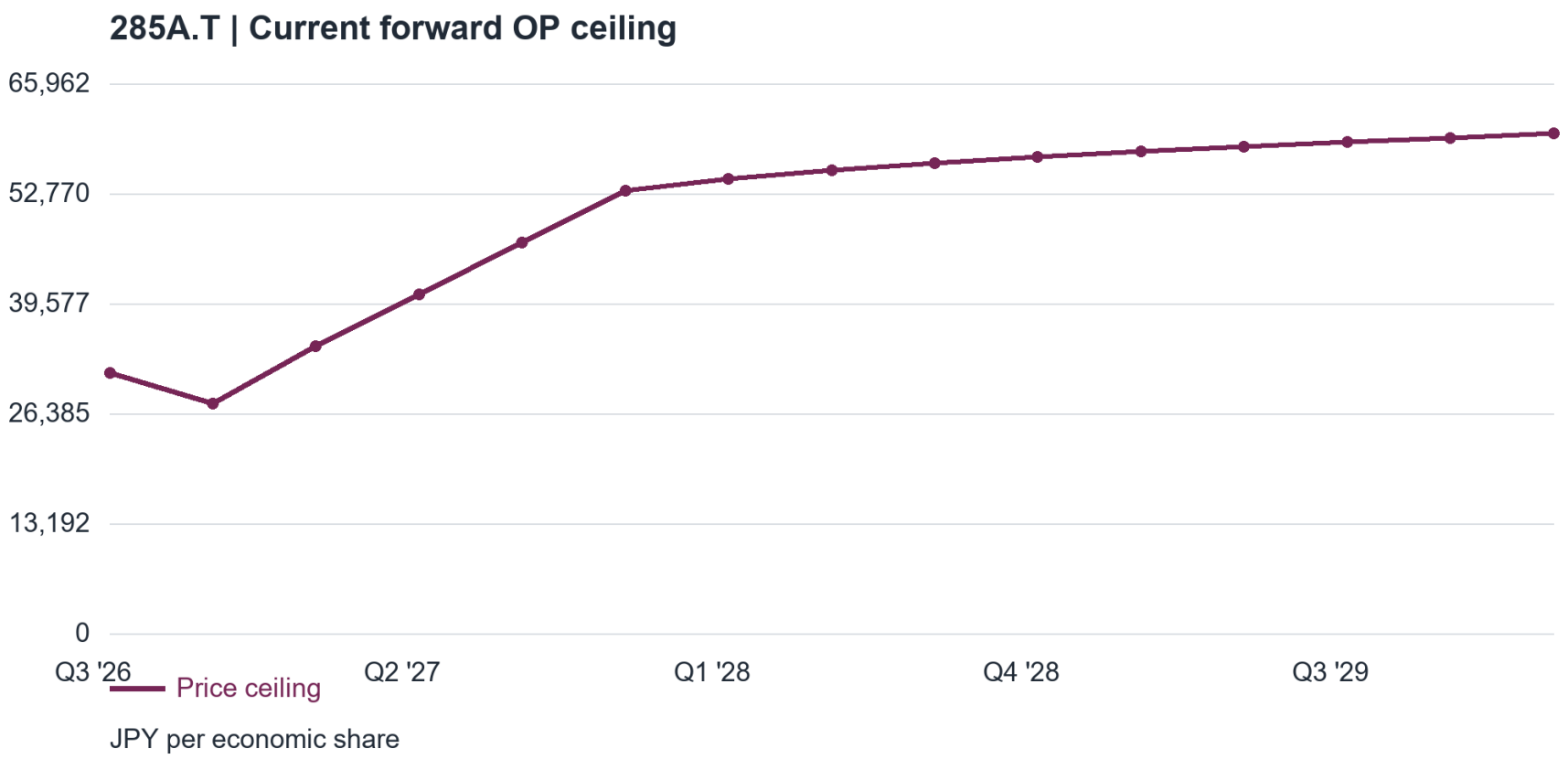
Current valuation and shareholder-return model - 28 October 2026

Q4 2027 price ceiling: JPY 53,058.87 per economic share. The model uses 18,462.724481 billions JPY of forward four-quarter non-GAAP operating profit, 4.5x, and 1,565.850611733 millions economic shares. Excel Base and analytical Base remain 78. Operating forecasts and their numerical probability states retain their existing selections.

Tom selected 50% of positive FCF for shareholder returns from Q4 2026: 20.5% of FCF as ordinary dividends and 29.5% as shareholder buybacks. Each current/future owner earnings multiple is reduced by 25%; its scheduled onset is preserved. Published Q3 2026 and earlier forecast values and rolling ceilings retain their original information vintage. The historical formula register and full before copies preserve the original calculation paths.

The selected price ceiling excludes dividend income. Gross dividends appear separately in the cash and per-share tables. Future shareholder-return amounts, execution prices, payment lags and cancellation rates are owner modeling assumptions. The company-specific source facts and the current cash conversion assumptions are set out below. Tom treats the shareholder-return rule as an interim assumption. Future issuer programmes and upcoming Sandisk/Samsung earnings trigger a fresh review of payout fractions, buyback authorizations, compensation purchases, timing and shares. Each new publication preserves the prior historical information vintage.

Valuation bridge	Q4 2027	
Previous published price ceiling	JPY 68,737.23	
25% multiple reduction with previous share path	JPY 51,552.92	
Selected FCF-funded share path and reduced multiple	JPY 53,058.87	
Revised economic-share denominator		1,565.850611733 millions
Separate cumulative gross dividends paid Q4 2026 through Q4 2027	JPY 1,136.885	



Current operating-profit ceiling, 28 October 2026.

Cash conversion and source anchors

Normalized CFO = non-GAAP OP - cash interest - normalized cash tax + D&A - increase in core working capital. FCF = normalized CFO - inclusive cash capital investment - separately identified lease principal. Customer financing deposits, financial-asset sales and new debt supply zero recurring FCF. All cash amounts use the units stated in the tables.

The latest retained detailed source is the quarter ended June 30,2026, released July 31. It reports JPY791.014B cash, JPY634.554B bonds/borrowings and JPY203.277B lease liabilities. The current reconstruction pays the completed August buyback's JPY799.997689B once in Q3. The initial 1,611.5917710335393M economic shares already include the completed 48.400500M split-adjusted repurchases. Their shares receive zero additional retirement credit.

June-quarter source cash flow is CFO866.337B, D&A76.082B, cash PP&E51.176B, intangibles 1.226B, lease principal 7.929B and cash interest 5.839B. Core NWC =(1,151.562+438.111-706.802)=JPY882.871B, calibrated to revenue 1,767.117B. Normalized cash tax uses 392.549/1,234.720=31.792552% of positive OP less cash interest. Cash paid tax 100.533B was below accrual expense, with income taxes payable 340.035B. The source-tax-liability cash-settlement stress tests that timing exposure.

The selected cash-capital intensity is 5% of revenue. The latest-quarter gross PP&E/intangible ratio was 2.965395%; the prior full-year ratio was 12.135119%, with contractual capital commitmentsJPY260.759B at March 31. A separate 12.135119% source-annual-intensity stress is retained. Five percent is an explicit prospective capacity assumption. Government grants and asset-disposal receipts are excluded from recurring FCF. The existing forward cost/OP schedule remains, while new D&A and investment cash are modeled separately for funding.

The exact 3:1 share convention remains. June net shares 548.014638M times 3 plus the diluted/basic EPS proxy difference 15.948357033539423M less 48.400500M completed repurchases equals 1,611.5917710335393M economic shares. Additional future grants are zero in the selected fully distributed proxy; a 1% annual dilution stress measures that uncertainty. Source debt is carried as a refinancing assumption; the April/May term-loan repayment and facility termination precede the June anchor.

Driver	Selected value	
Initial free cash		791.014000 billions
Initial debt		634.554000 billions
D&A / revenue		4.305431%
Gross inclusive capital investment / revenue		5.000000%
Core NWC / quarterly revenue		49.961095%
Normalized tax rate		31.792552%
Cash interest / quarter		5.839000
Separate lease principal / quarter		7.929000
Saved independent execution-price reference	JPY 20,353.333333	
Initial economic shares		1,611.591771034 millions

Return cohorts, funding and share mechanics

For earning quarter q, dividend budget =0.205 x MAX(FCFq,0) and shareholder buyback budget =0.295 x MAX(FCFq,0). Buyback cash is 70% in q+1 and 30% in q+2. Independent execution price = saved reference x 1.10^quarter index, with Q3 2026 index 0 and Q4 index 1. Expected economic retirement in q+2 =90% x budget x unit factor x(70%/priceq+1 +30%/priceq+2). Economic shares end = shares opening + new future grant shares - expected retirements. The valuation denominator is the average of opening and ending economic shares.

Dividends earned in Q4 pay in q+2; other cohorts pay in q+1. Gross DPS uses payment-quarter ending distributed economic shares. Ending cash = opening cash + FCF - paid ordinary dividends - paid shareholder buybacks - source commitments - award withholding. The funding law grants zero new-debt cash to returns. Negative cash or nonpositive shares invalidate the affected scenario. Terminal unpaid cohorts remain recorded after the final forecast quarter.

Quarterly cash derivation

Quarter	Revenue	OP	Tax	D&A	NWC change	Cash capex	FCF
Q3 2026	2,556.261	2,058.363	652.550	110.058	394.265	127.813	980.025
Q4 2026	3,361.491	2,820.631	894.894	144.727	402.302	168.075	1,486.319
Q1 2027	4,279.731	3,691.469	1,171.756	184.261	458.763	213.987	2,017.457
Q2 2027	4,630.403	4,016.709	1,275.158	199.359	175.200	231.520	2,520.422
Q3 2027	4,927.412	4,279.167	1,358.600	212.146	148.389	246.371	2,724.186
Q4 2027	5,179.208	4,475.539	1,421.032	222.987	125.800	258.960	2,878.966
Q1 2028	5,383.886	4,610.819	1,464.041	231.799	102.259	269.194	2,993.356
Q2 2028	5,524.457	4,672.867	1,483.767	237.852	70.231	276.223	3,066.730
Q3 2028	5,636.914	4,703.499	1,493.506	242.693	56.185	281.846	3,100.888
Q4 2028	5,735.314	4,719.893	1,498.718	246.930	49.162	286.766	3,118.409
Q1 2029	5,805.600	4,713.041	1,496.540	249.956	35.116	290.280	3,127.294
Q2 2029	5,875.886	4,711.779	1,496.138	252.982	35.116	293.794	3,125.945
Q3 2029	5,932.114	4,704.670	1,493.878	255.403	28.092	296.606	3,127.728
Q4 2029	5,988.343	4,703.448	1,493.490	257.824	28.092	299.417	3,126.505
Q1 2030	6,030.514	4,696.915	1,491.413	259.640	21.069	301.526	3,128.779
Q2 2030	6,072.686	4,695.808	1,491.061	261.455	21.069	303.634	3,127.731
Q3 2030	6,114.857	4,700.126	1,492.434	263.271	21.069	305.743	3,130.383
Q4 2030	6,157.029	4,709.201	1,495.319	265.087	21.069	307.851	3,136.280

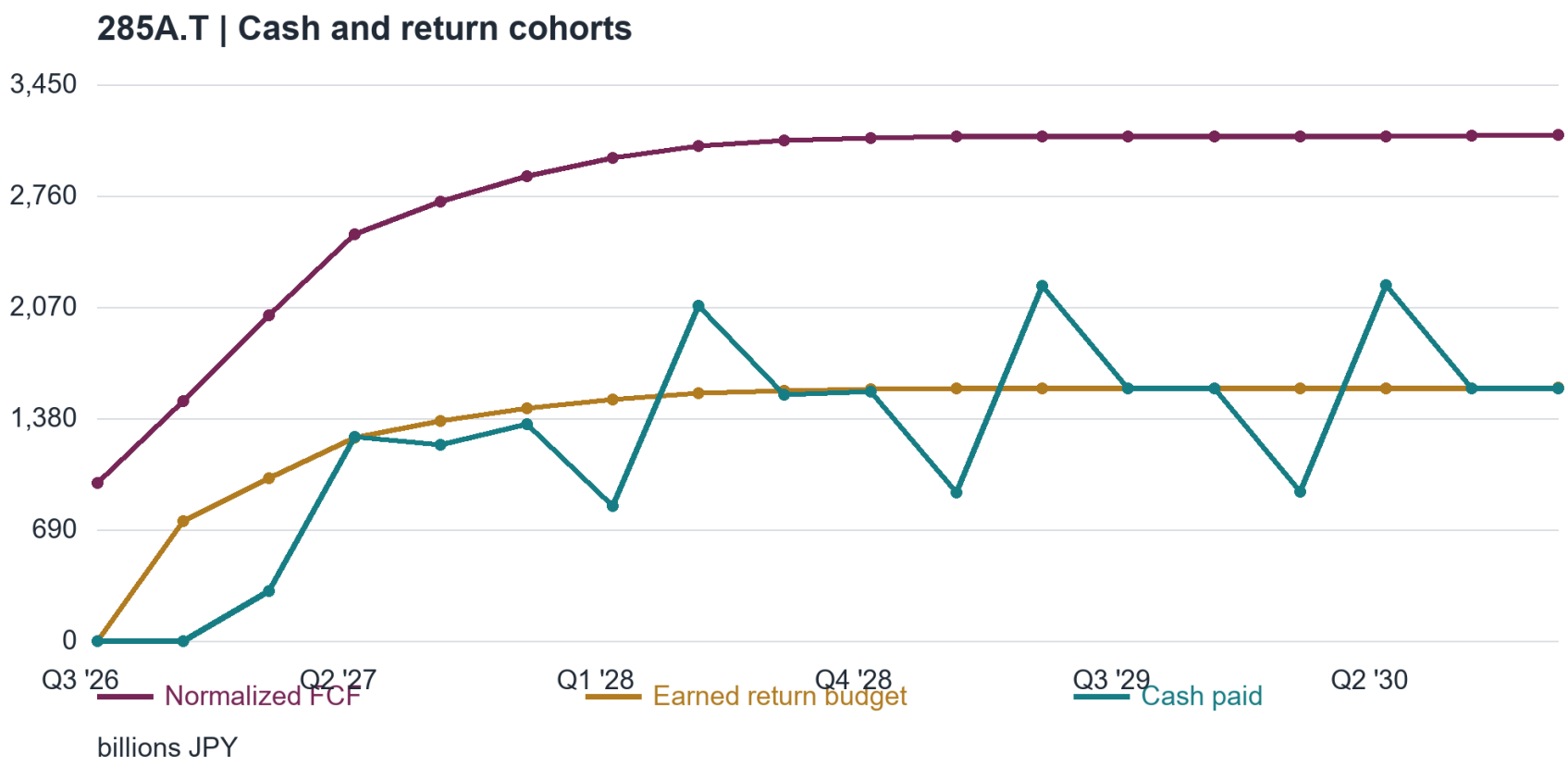
Q3 2026 in the cash table is a current reconstruction from dated cash sources. Its published forecast displays remain frozen.

Shareholder cash cohorts

Quarter	Dividend earned	Buyback earned	Dividend paid	Buyback cash	Other capital cash	Ending free cash
Q3 2026	0.000	0.000	0.000	0.000	799.998	971.042
Q4 2026	304.695	438.464	0.000	0.000	0.000	2,457.361
Q1 2027	413.579	595.150	0.000	306.925	0.000	4,167.893
Q2 2027	516.687	743.525	718.274	548.144	0.000	5,421.897
Q3 2027	558.458	803.635	516.687	699.012	0.000	6,930.384
Q4 2027	590.188	849.295	558.458	785.602	0.000	8,465.291
Q1 2028	613.638	883.040	0.000	835.597	0.000	10,623.050
Q2 2028	628.680	904.685	1,203.826	872.917	0.000	11,613.037
Q3 2028	635.682	914.762	628.680	898.192	0.000	13,187.054
Q4 2028	639.274	919.931	635.682	911.739	0.000	14,758.042
Q1 2029	641.095	922.552	0.000	918.380	0.000	16,966.956
Q2 2029	640.819	922.154	1,280.369	921.765	0.000	17,890.766
Q3 2029	641.184	922.680	640.819	922.273	0.000	19,455.403
Q4 2029	640.933	922.319	641.184	922.522	0.000	21,018.201
Q1 2030	641.400	922.990	0.000	922.427	0.000	23,224.552
Q2 2030	641.185	922.681	1,282.333	922.788	0.000	24,147.162
Q3 2030	641.729	923.463	641.185	922.773	0.000	25,713.587
Q4 2030	642.937	925.203	641.729	923.228	0.000	27,284.910

Economic shares and separate dividend income

Quarter	Opening shares	New grant shares	Expected retired	Valuation shares	Ending shares	Gross DPS paid
Q3 2026	1,611.591771	0.000000	0.000000	1,611.591771	1,611.591771	0.0000
Q4 2026	1,611.591771	0.000000	0.000000	1,611.591771	1,611.591771	0.0000
Q1 2027	1,611.591771	0.000000	0.000000	1,611.591771	1,611.591771	0.0000
Q2 2027	1,611.591771	0.000000	15.586435	1,603.798554	1,596.005336	450.0449
Q3 2027	1,596.005336	0.000000	19.232963	1,586.388854	1,576.772373	327.6862
Q4 2027	1,576.772373	0.000000	21.843522	1,565.850612	1,554.928851	359.1535
Q1 2028	1,554.928851	0.000000	21.463147	1,544.197277	1,533.465704	0.0000
Q2 2028	1,533.465704	0.000000	20.620565	1,523.155422	1,512.845139	795.7365
Q3 2028	1,512.845139	0.000000	19.490800	1,503.099739	1,493.354339	420.9849
Q4 2028	1,493.354339	0.000000	18.153237	1,484.277721	1,475.201102	430.9121
Q1 2029	1,475.201102	0.000000	16.686759	1,466.857722	1,458.514343	0.0000
Q2 2029	1,458.514343	0.000000	15.255496	1,450.886595	1,443.258847	887.1376
Q3 2029	1,443.258847	0.000000	13.908146	1,436.304773	1,429.350700	448.3285
Q4 2029	1,429.350700	0.000000	12.638315	1,423.031543	1,416.712385	452.5861
Q1 2030	1,416.712385	0.000000	11.495932	1,410.964419	1,405.216453	0.0000
Q2 2030	1,405.216453	0.000000	10.446758	1,399.993073	1,394.769694	919.3870
Q3 2030	1,394.769694	0.000000	9.503961	1,390.017714	1,385.265733	462.8605
Q4 2030	1,385.265733	0.000000	8.637071	1,380.947198	1,376.628662	466.1596



Cash generation and shareholder-return cohorts, 28 October 2026. Budgets are earned from positive normalized FCF; cash follows the disclosed forecast lags.

Capital-allocation sensitivities

Diagnostic	Q4 2027 price	Minimum modeled cash	Funding guard
no future returns	51,552.919	971.042	Pass
FCF only	70,745.157	971.042	Pass
all dividends	51,552.919	971.042	Pass
all buybacks	54,158.262	971.042	Pass
payout 100 pct	54,655.446	971.042	Pass
retirement zero	51,552.919	971.042	Pass
retirement full	53,231.644	971.042	Pass
execution half	54,655.446	971.042	Pass
execution double	52,295.054	971.042	Pass
capex double	52,896.522	843.229	Pass
NWC plus 25 pct	52,979.767	651.758	Pass
tax plus 10 pp	52,782.344	765.789	Pass
new dilution 1 pct annual	52,453.858	971.042	Pass
source annual capital intensity	52,827.499	788.649	Pass
source prior tax liability cash settlement	53,058.868	971.042	Pass

The selected case remains positive in both cash and economic shares throughout the horizon. Sensitivities vary the stated cash or share assumption while preserving the operating case. The source-tax settlement and additional award-cash reserves reduce liquidity directly; their valuation effect depends on whether they constrain the funded programme. Actual tax settlement, future capex, funding terms, authorization renewals, award grants, execution prices and legal cancellation timing require future issuer evidence.

Cash-source record

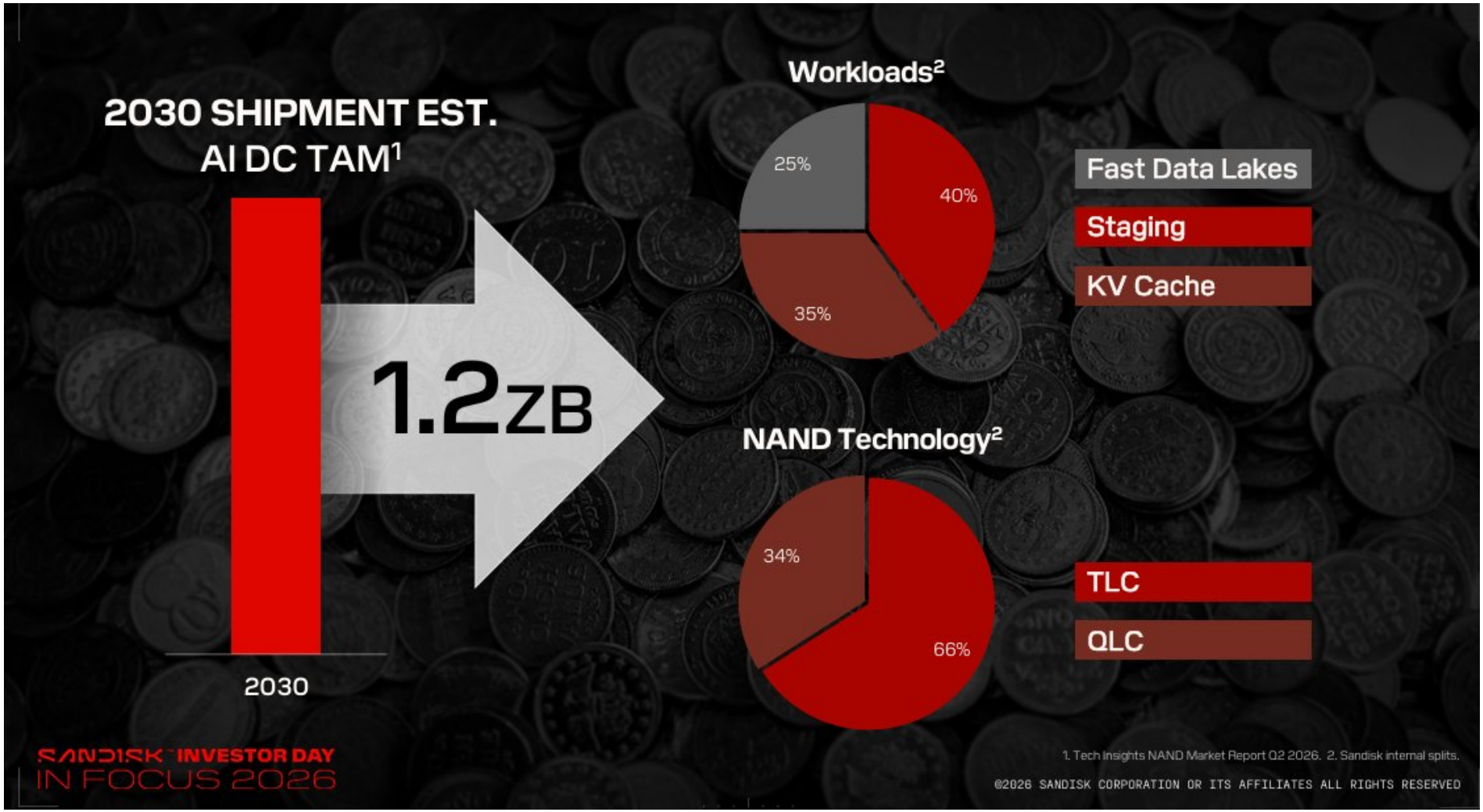
- Sandisk fiscal Q4/FY2026 issuer release, August 5: https://www.sandisk.com/company/newsroom/press-releases/2026/2026-08-05-sandisk-reports-fiscal-fourth-quarter-2026-financial-results . Balance sheet, cash flow, awards withholding and authorization.
- Sandisk Investor Day CFO presentation, August 13: https://investor.sandisk.com/static-files/9023ed3e-9baf-44f1-944d-dbe81121ea31 . Adjusted FCF reconciliation, customer financing cash, capital intensity and capital allocation.

- Sandisk FY2026 Form 10-K, filed August 17: https://www.sec.gov/Archives/edgar/data/2023554/000162828026057406/sndk-20260703.htm . Operating leases, JV commitments and share awards.
- Kioxia June-quarter issuer filing, July 31: https://ssl4.eir-parts.net/doc/285A/tdnet/2859905/00.pdf . Local issuer English filing retained; printed 8-13 for financial position and cash flows.
- Kioxia FYendedMarch 2026 annual securities report: https://www.kioxia-holdings.com/content/dam/kioxia-hd/en-jp/ir/library/securities/asset/Annual-Securities-Report-FY2025-EN.pdf . Annual capex, commitments, debt and subsequent events.

Research batch assessment

Persistent-agent storage is real demand context; the 500-600EB add-on is unproven

The Sandisk slide gives a 1.2ZB AI-datacenter NAND shipment estimate for 2030: 1,200EB of annual shipments. Its workload split is 40% staging, 35% KV cache and 25% fast data lakes: 480/420/300EB. TLC/QLC is a separate technology split of 66%/34%; those are not additional end markets.



Sandisk Investor Day 2026 slide supplied by the user: 1.2ZB annual AI-datacenter shipments in 2030; workload and NAND-technology splits describe the same pool.

The August 13 issuer deck already discusses agentic AI, persistent KV cache and context. The claim that persistent agents were wholly excluded therefore does not support automatically adding Zephyr's speculative 500-600EB. Its annual-shipment versus installed-stock scope, retention period and overlap are unspecified. If it were fully incremental annual shipments, arithmetic would imply 1.7-1.8ZB, a 42-50% uplift; that is a conditional scope illustration.

Transmission into Kioxia requires bits, capture and realized price

Agent-hours, checkpoints, state retention, replication and retrieval can increase capacity and writes. Deduplication, compression, caching tiers and retention limits can reduce physical NAND needs. HBM/DRAM working state, SSD persistence and archival HDD bytes are separate wallets. Convert incremental usable storage stock into annual NAND shipments using new deployment, replacements, endurance, utilization and overhead; then apply qualified supplier share and product ASP. Do not translate a speculative EB figure straight into profit.

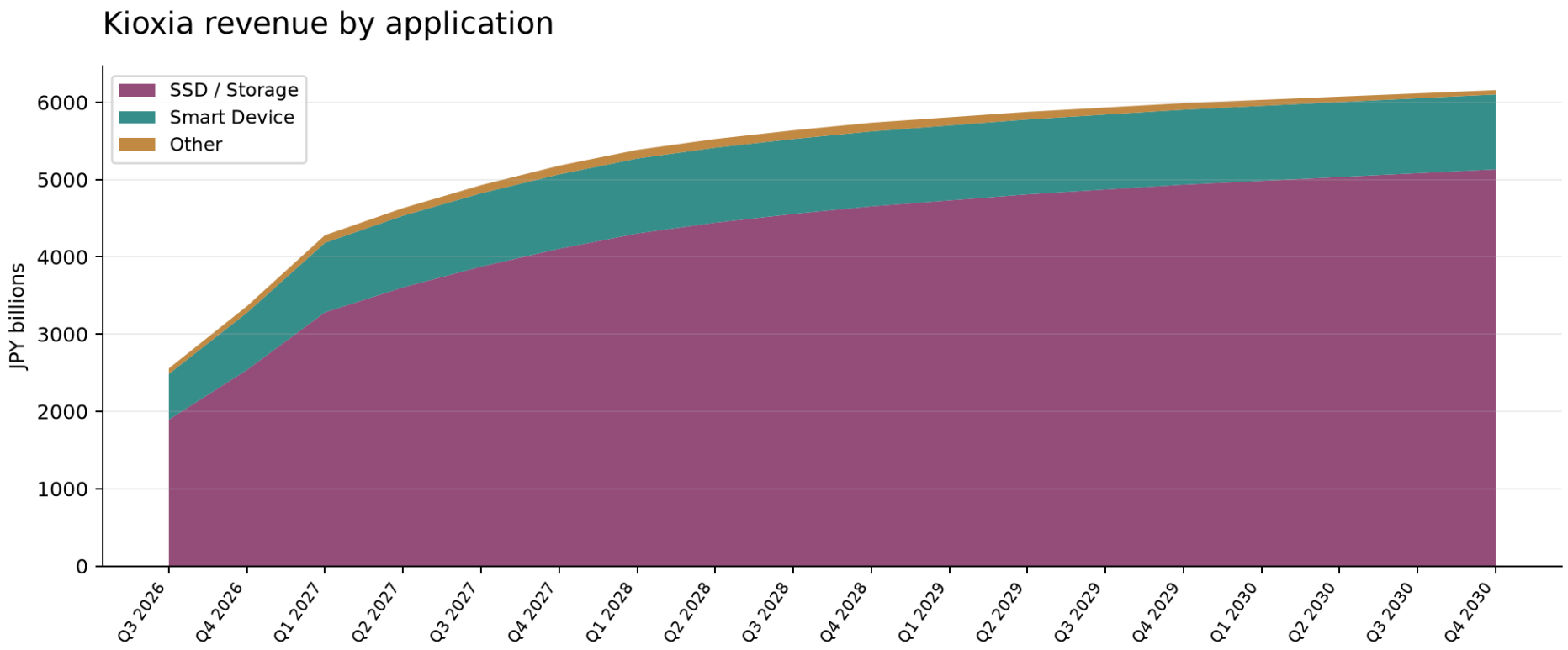
Analytical Base: 78; current Excel Base: 78. The SSD/Storage line already captures datacenter expansion. The persistent-agent source does not establish an incremental Kioxia allocation, order or realized ASP, so that source contributes no additional economics. Existing exact 3:1 split arithmetic remains applied once. This assessment remains separate from the quantified PC risk below.

Upgrade gates: customer storage build-outs with a defined period, eSSD qualification/capture, contracted versus floating bit mix, realized pricing, fab bit output/yield and incremental margin. The model could improve through higher shipped bits or firmer margins if those are quantified. Persistent-agent demand alone is not evidence for an immediate incremental ceiling increase.

Visual model dashboard

All forward values are labeled model assumptions. The current model contains eighteen operating quarters and fifteen complete four-quarter valuation windows. Source figures are evidence; forecast charts plot saved current calculations. The ceiling chart compares the saved flat-multiple baseline with the owner rerating while holding operating forecasts fixed.

Revenue and product mix



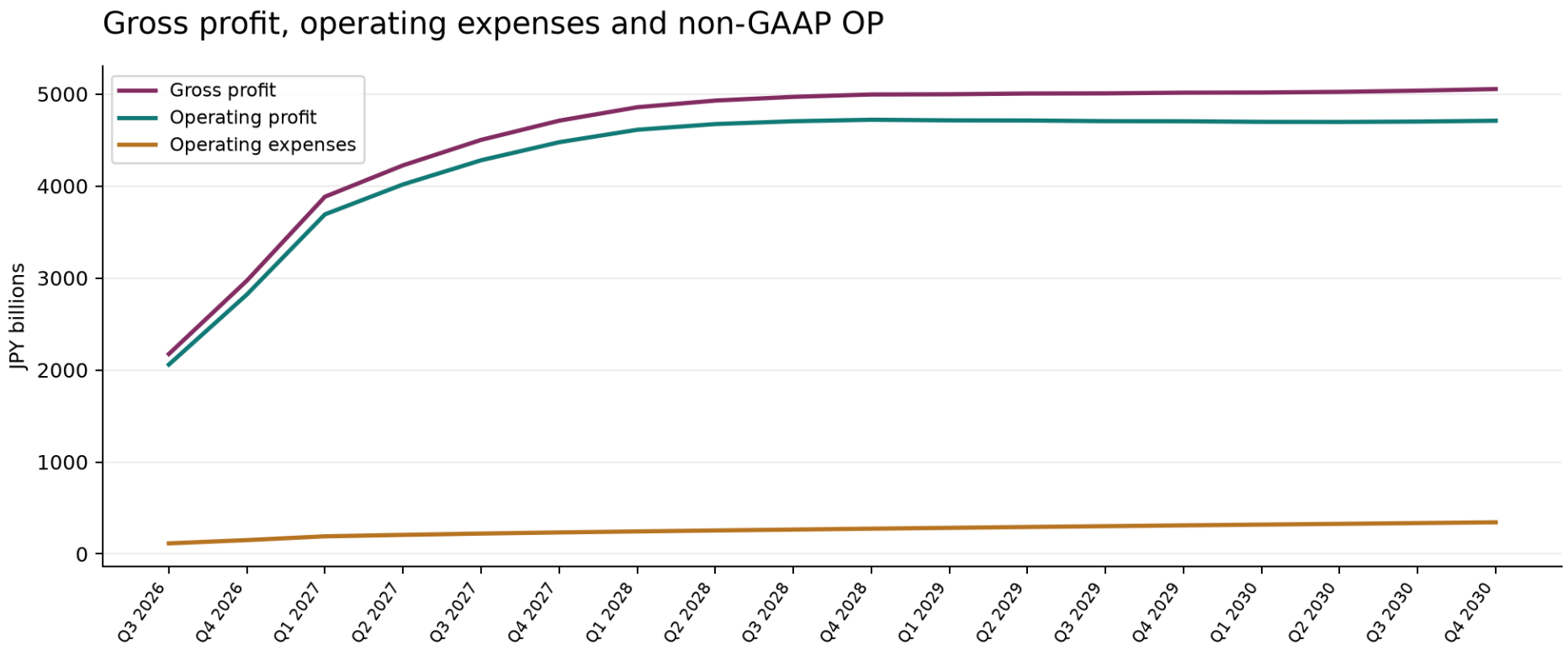
1amInvesting | current model assumptions | 12 October 2026 | rounded display; exact workbook calculations retained

Kioxia revenue by application

Calendar quarter	Revenue	SSD / Storage	Smart Device	Other
Q3 2026	2,556.261	1,893.130	591.470	71.661
Q4 2026	3,361.491	2,536.398	739.528	85.565
Q1 2027	4,279.731	3,281.674	899.657	98.400
Q2 2027	4,630.403	3,604.232	927.771	98.400
Q3 2027	4,927.412	3,873.127	948.857	105.429
Q4 2027	5,179.208	4,103.836	962.914	112.457

Calendar quarter	Revenue	SSD / Storage	Smart Device	Other
Q1 2028	5,383.886	4,301.486	969.943	112.457
Q2 2028	5,524.457	4,442.057	969.943	112.457
Q3 2028	5,636.914	4,554.514	969.943	112.457
Q4 2028	5,735.314	4,652.914	969.943	112.457
Q1 2029	5,805.600	4,730.229	969.943	105.429
Q2 2029	5,875.886	4,807.543	969.943	98.400
Q3 2029	5,932.114	4,870.800	969.943	91.371
Q4 2029	5,988.343	4,934.057	969.943	84.343
Q1 2030	6,030.514	4,983.257	969.943	77.314
Q2 2030	6,072.686	5,032.457	969.943	70.286
Q3 2030	6,114.857	5,081.657	969.943	63.257
Q4 2030	6,157.029	5,130.857	969.943	56.229

Operating profit path



1amInvesting | current model assumptions | 12 October 2026 | rounded display; exact workbook calculations retained

Gross profit, operating expenses and non-GAAP OP

Calendar quarter	Gross profit	Opex	Non-GAAP OP	OP margin
Q3 2026	2,173.395	115.032	2,058.363	80.52%
Q4 2026	2,971.226	150.595	2,820.631	83.91%
Q1 2027	3,883.117	191.648	3,691.469	86.25%
Q2 2027	4,224.066	207.357	4,016.709	86.75%
Q3 2027	4,500.843	221.676	4,279.167	86.84%
Q4 2027	4,709.590	234.051	4,475.539	86.41%

Calendar quarter	Gross profit	Opex	Non-GAAP OP	OP margin
Q1 2028	4,855.786	244.967	4,610.819	85.64%
Q2 2028	4,928.097	255.230	4,672.867	84.59%
Q3 2028	4,968.434	264.935	4,703.499	83.44%
Q4 2028	4,994.614	274.722	4,719.893	82.30%
Q1 2029	4,996.935	283.894	4,713.041	81.18%
Q2 2029	5,004.986	293.207	4,711.779	80.19%
Q3 2029	5,006.614	301.945	4,704.670	79.31%
Q4 2029	5,014.243	310.795	4,703.448	78.54%
Q1 2030	5,015.929	319.014	4,696.915	77.89%
Q2 2030	5,023.126	327.318	4,695.808	77.33%
Q3 2030	5,035.832	335.706	4,700.126	76.86%
Q4 2030	5,053.379	344.178	4,709.201	76.48%

Rolling four-quarter ceiling

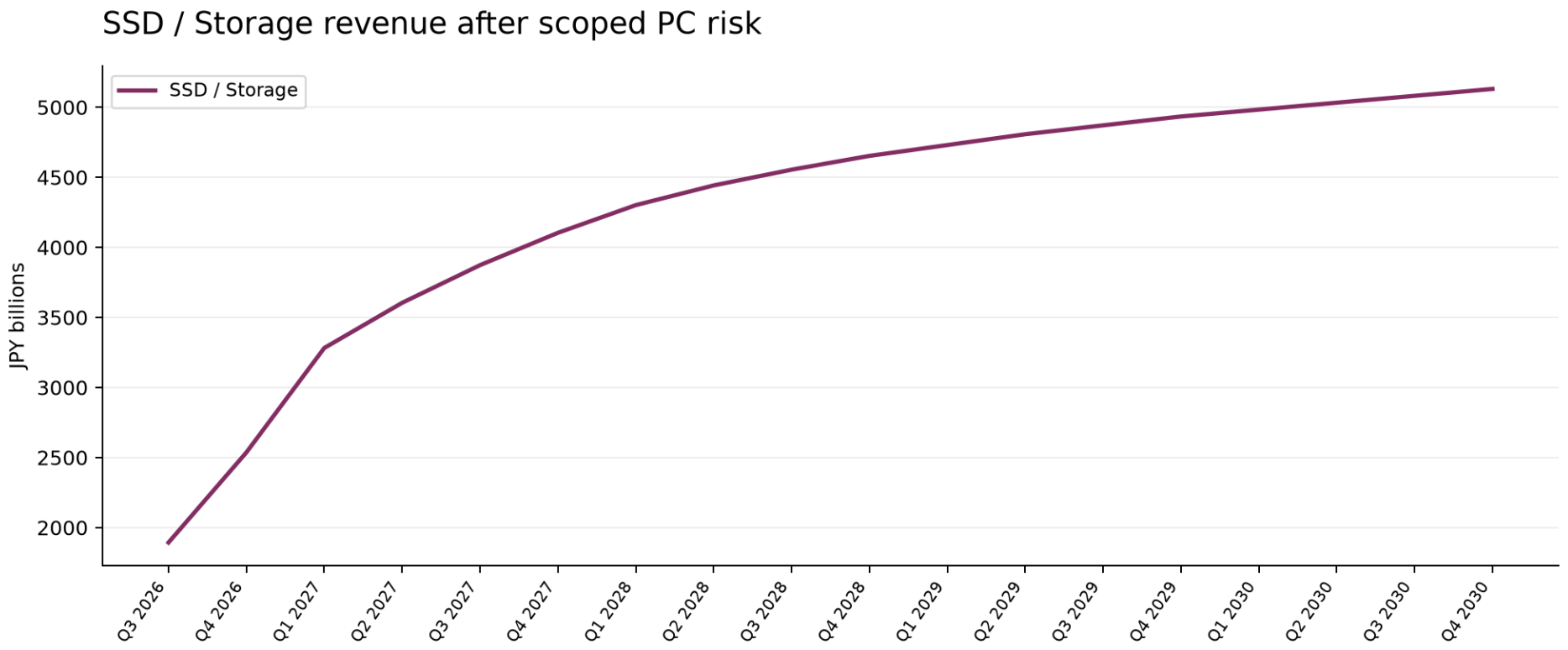


Current operating-profit ceiling, 28 October 2026.

Ceiling quarter	Current price ceiling JPY/share
Q3 2026	31,241.591
Q4 2026	27,565.250
Q1 2027	34,476.620
Q2 2027	40,643.122
Q3 2027	46,904.243

Ceiling quarter	Current price ceiling JPY/share
Q4 2027	53,058.868
Q1 2028	54,514.959
Q2 2028	55,570.069
Q3 2028	56,428.029
Q4 2028	57,147.137
Q1 2029	57,775.351
Q2 2029	58,361.317
Q3 2029	58,903.782
Q4 2029	59,438.836
Q1 2030	59,965.528

SSD / Storage driver



1amInvesting | current model assumptions | 12 October 2026 | rounded display; exact workbook calculations retained

SSD / Storage revenue after scoped PC risk

Calendar quarter	SSD / Storage revenue JPYbn
Q3 2026	1,893.130
Q4 2026	2,536.398
Q1 2027	3,281.674
Q2 2027	3,604.232
Q3 2027	3,873.127
Q4 2027	4,103.836

Calendar quarter	SSD / Storage revenue JPYbn
Q1 2028	4,301.486
Q2 2028	4,442.057
Q3 2028	4,554.514
Q4 2028	4,652.914
Q1 2029	4,730.229
Q2 2029	4,807.543
Q3 2029	4,870.800
Q4 2029	4,934.057
Q1 2030	4,983.257
Q2 2030	5,032.457
Q3 2030	5,081.657
Q4 2030	5,130.857

Full investment analysis

The original thesis, company earnings calibration, product vectors, capital plan, cost schedules, share arithmetic, risk classes and sources are retained below. Source recovery is not a new earnings event. Current production method is Framework 8.0; older source dates remain their actual dates. Pricing realization, physical output, future margins and financing remain conditional where disclosed.

Classification: MEMORY BOTTLENECK - NAND manufacturing and enterprise storage mix.

The initial economic-share denominator is 1,611.5917710335393M on the exact 3:1 split basis. Future cash-funded cohorts determine current economic shares. The owner schedule reaches 4.5x F4Q non-GAAP OP fromQ4 2027. Excel Base 78 and analytical Base 78 are separate fields and are preserved.

1. Thesis, products and competitive position

BOTTLENECK with cyclical pricing. Kioxia develops and manufactures NAND with SanDisk through the Japanese JV, then captures revenue through its own product mix and customer contracts. The shared manufacturing base does not make the two companies' revenue, margins, contractual terms or capital burdens identical.

Shared manufacturing, distinct commercial economics

Kioxia and SanDisk share NAND manufacturing development and investment through their Japanese production ecosystem. Yokkaichi, Kitakami, process transitions and BiCS technology link physical wafer and bit economics across the two companies. Their customer agreements, product mix, accounting, currencies and capital structures remain distinct.

The model separates SSD and Storage, Smart Device, and Other with distinct revenue mixes and independently derived margins. The selected Q3/Q4 benchmark price-growth rates are shared across these vectors as an explicit scenario assumption. Higher enterprise SSD mix can alter controller content, qualification, endurance requirements and economics. Node migration changes bits per wafer, but acceptance, yield and product qualification determine usable sold bits.

Supply agreements and capital allocation

Long-term volume arrangements support planning. Public evidence does not establish that every Kioxia contract has the same protected margin or pricing collars as those asserted in another company's research. Customer-specific price terms, mix and currency must remain explicit assumptions where they are undisclosed.

Manufacturing capex, R&D and financing requirements are material even during a strong memory cycle. The completed buyback and economic share proxy below govern the ceiling; an announced stock split changes the share unit. All principal tables use one consistent post-split basis, including the comparative Q3 2026 share unit. Depreciation, future bit supply and capital returns should be tested together so that strong current margins do not implicitly fund both unlimited capacity and unlimited repurchases.

Research provenance: the product and competitive analysis in this section synthesizes the supplied original research. Dated market-share, process and channel claims retain their original evidence status; this integration is not a new independent verification of those claims. Current earnings and model assumptions are set out below.

2. Earnings, guidance and operating assumptions

Latest earnings and guidance

Calendar Q2 2026 revenue was JPY1,767.117B, non-GAAP OP 1,326.216B and IFRS OP 1,270.017B. Application revenues were 1,174.719B SSD/Storage, 525.656B Smart Device and 66.742B Other. The retained Japanese filing supports calendar Q3 guidance of revenue 2,390B and non-GAAP OP 1,900B by subtracting the first-quarter actuals from cumulative half-year guidance. [KIO-1]

The active pricing case is **JPY2,556.26B revenue and 2,058.36B non-GAAP OP**. It is above the recorded company outlook and is not presented as a company guidance revision. Product gross margins are model assumptions; issuer segment profitability remains undisclosed. The retained review includes one complete management call; a second complete transcript remains an evidence gap.

Management and contract interpretation

The latest call describes increasing enterprise allocation, higher pricing, customer-specific LTA negotiations and a goal near 50% of 2028 shipment volume. Management expressly describes terms as bespoke. There is no verified basis to label every Kioxia contract with Micron’s or SanDisk’s pricing floors and ceilings. Source: KIO-2.

The forward SSD/Storage margin path is therefore conditional on mix, pricing and cost execution. It is not represented as contractually guaranteed. Consumer NAND exposure may normalize differently from enterprise SSDs, but both depend on industry output and customer demand.

Forward model and capital plan

Active NAND pricing and source treatment

The active NAND benchmark is **calendar Q3 2026 +23%, Q4 2026 +20% and Q1 2027 +15% sequentially**. Q3/Q4 retain the upper bounds of the owner-supplied TrendForce ranges, ranked Tier 1 alongside Serenity. The added Q1 forecast comes from the owner-supplied Jeff Pu/Jukan summary citing TrendForce. The owner authorized this combined case on September 21. The quoted analyst path was +21%/+17%/+15%; the active case retains the owner's higher 2026 selections. [TF-1, JF-1]

The source's current ranges are Q3 +18-23% and Q4 +15-20%. The original updated table was not independently retrieved. The selected rates are a user-authorized modeling input; the translation into this company's realized prices is analytical. Full benchmark transmission is assumed for modeled NAND product sales, including sales governed by customer agreements. That does not establish that every contract permits immediate repricing. The source rank does not convert undisclosed contract terms into verified facts.

With Q2 2026 indexed to 1.000, active calendar price indexes are **1.230 in Q3, 1.476 in Q4 and 1.6974 in Q1 2027**. The Q1 level is 69.74% above Q2 2026. The +15% is applied once in Q1; it does not recur every quarter. Later forecasts retain their existing operating trajectory at this higher benchmark level. Persistence through 2030 is a modeling assumption.

Product production-cost schedules are retained at the existing shipment assumptions. Gross profit equals revised product revenue less those modeled costs; product gross margin is derived. The inherited NAND benchmark reconstruction applies the existing quarterly opex percentages to its reference revenues. Incremental benchmark pricing therefore increases gross margin and baseline dollar opex. The PC risk branch retains those baseline opex dollars exactly. This assumes no additional manufacturing-cost inflation or new cost savings from the pricing update. Multiples, share schedules and portfolio Base scores are retained.

Explicit pricing reconstruction

The inherited model did not separately identify pricing and physical volume. To replace its implicit pricing without adding the full industry increase on top, this case uses a disclosed analytical reconstruction: reference price indexes are 1.150 for Q3 and 1.2075 for Q4, corresponding to the prior TrendForce upper bounds supplied by the owner. These reference indexes are calculation denominators only.

For each product, reference-price revenue = inherited modeled revenue / reference price index. Reference revenue before the PC risk overlay = reference-price revenue times the active price index of 1.230 in Q3 2026, 1.476 in Q4, or 1.6974 from Q1 2027. This preserves the residual volume/mix/FX contribution implied by that reconstruction. It does not claim to recover actual physical bit shipments. The reconstruction's baseline is LOW confidence; choosing another baseline would change the incremental upgrade.

From Q1 2027 onward, the reference denominator remains 1.2075 and the active benchmark is 1.6974. Each product retains its inherited subsequent revenue-growth pattern, including its embedded volume, mix, currency and later pricing assumptions. The additional Q1 benchmark lift is 15% relative to the previously active 1.476 index. This preserves the existing reconstruction. Actual physical bit shipments remain undisclosed. All three application vectors receive the benchmark in this selected case; exact product/customer exposure remains unverified.

Section 4 supplies reference-price inputs, active benchmark indexes and the separate PC risk overlay so every current product revenue and profit can be reproduced. Inherited product-cost schedules are the starting point; the stated variable-cost saving affects only lost scoped notebook units. All baseline opex dollars and the constant diluted-share proxy are retained. Annual revenue and OP below are outputs.

On August 27, the partners announced about JPY5T of combined investment through 2032, conditional on government support. This is shared, multi-year expenditure and cannot be counted in full for both partners. Source: KIO-4. K3 targets operations in FY2029, meaning the year beginning April 2029; detailed deployment remains demand-dependent. It contributes no new capacity proof for calendar 2028. Source: KIO-5.

The model retains inherited production-cost schedules and baseline dollar opex; only the new scoped variable-cost saving on lost notebook units is deducted. The PC pricing discount itself saves no production cost. Cash capex net of subsidies is not evidence that NAND manufacturing has negligible depreciation or funding needs. A complete new-project depreciation/financing bridge remains an open condition for later years.

Completed buyback and share denominator

The completed August 10 programme acquired 48.400500M split-adjusted shares forJPY799.997689B. June net issued 1,644.043914M plus incremental dilution 15.948357033539423M less those completed purchases equals 1,611.5917710335393M economic shares. The exact initial basis is retained. The opening chapter rolls future FCF-funded share cohorts forward; the completed purchase receives one cash settlement and one existing share adjustment.

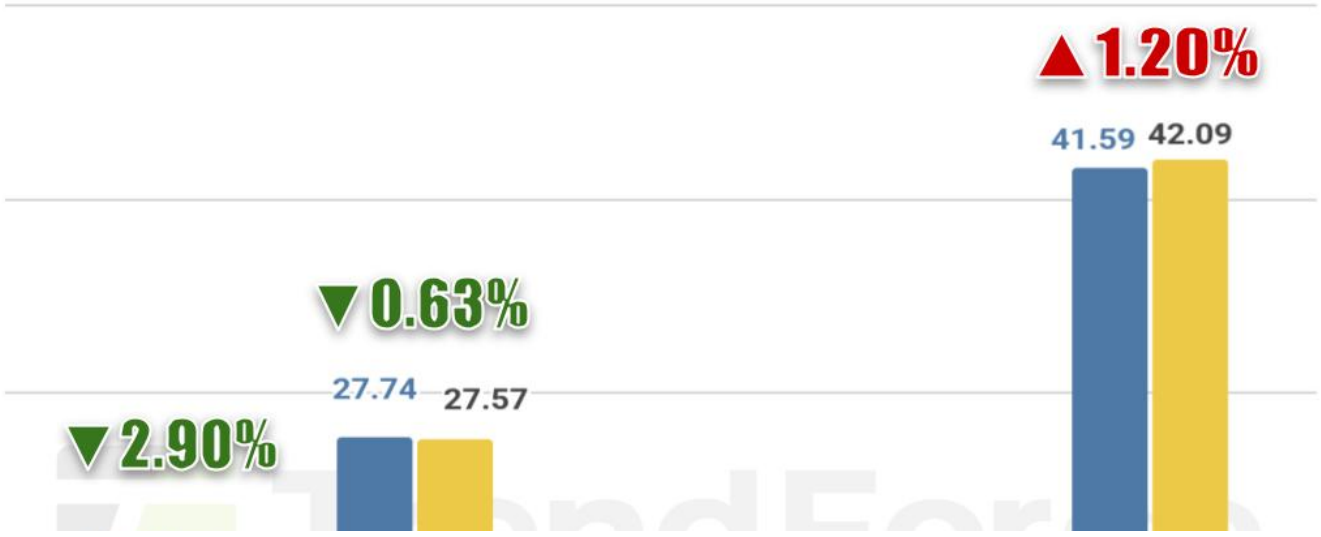
Valuation and stock split

The current owner schedule reaches 4.5x fromQ4 2027. Each quarter values that quarter plus its next three operating quarters using the current economic-share denominator. Kioxia’s July 31 notice establishes exactly 3 new ordinary shares for each old share, September 30 record date andOctober 1 effective date. Model shares and reference prices already use this 3:1 basis. Group revenue, profit and buyback cash retain their original currency amounts.

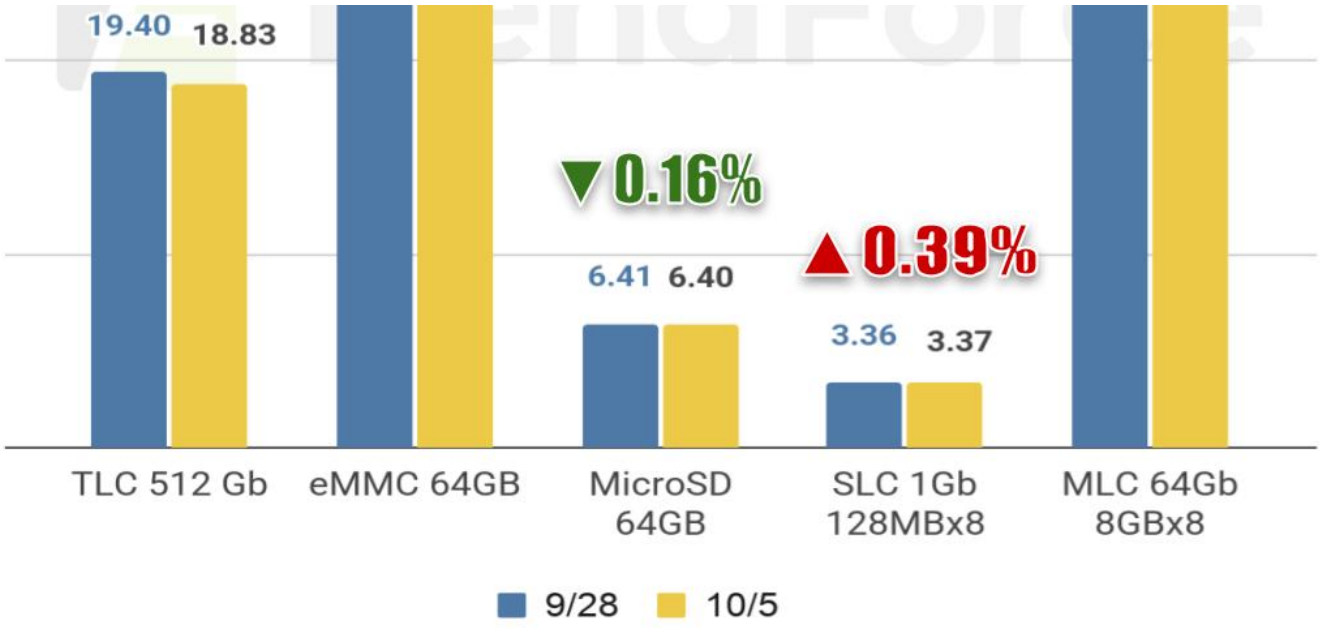
Rule 16b: notebook demand and PC NAND counter-evidence

Verified source scope. TrendForce's 8 October release expects a low-single-digit 2027 notebook shipment decline. The higher single-digit downside requires fuller CPU/DRAM cost pass-through; it is not the selected outcome. CPU, DRAM and SSD together represent 68% of manufacturing BOM for a mainstream notebook with $900 retail price. Purchases pulled forward and low-cost inventory depletion can reduce final demand or device specifications. Units, memory content per device and supplier procurement are distinct.

Its 21 July NAND release anticipated a 4-5% 2026 deficit and a supply balance that may turn positive in H2 2027. The October release reiterates that timing; this is one underlying easing hypothesis. The 30 September outlook still forecasts Q4 conventional DRAM +10-15% and NAND +15-20%, with strong enterprise SSD demand and many new high-capacity QLC orders committed. The 7 October spot decline of 512Gb TLC is a spot product quotation. 512Gb is not 512GB.



Original 7 October memory spot table; spot categories and units retained Original exhibit, panel 1 of 2; read from top to bottom.



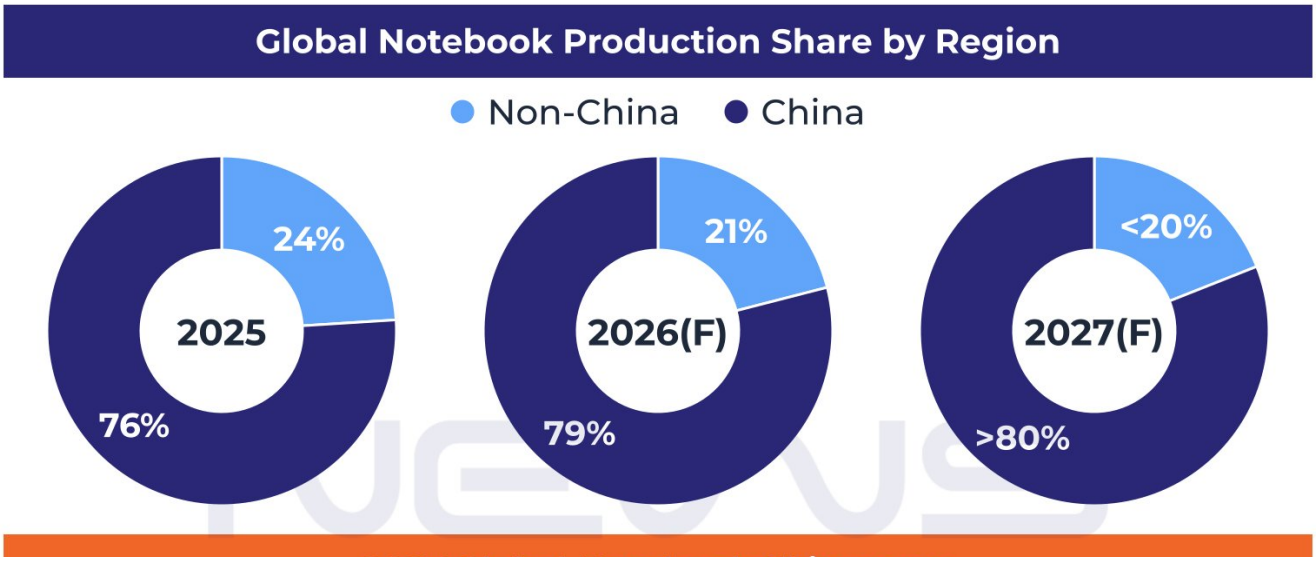
Last update Oct.7 2026

TrendForce

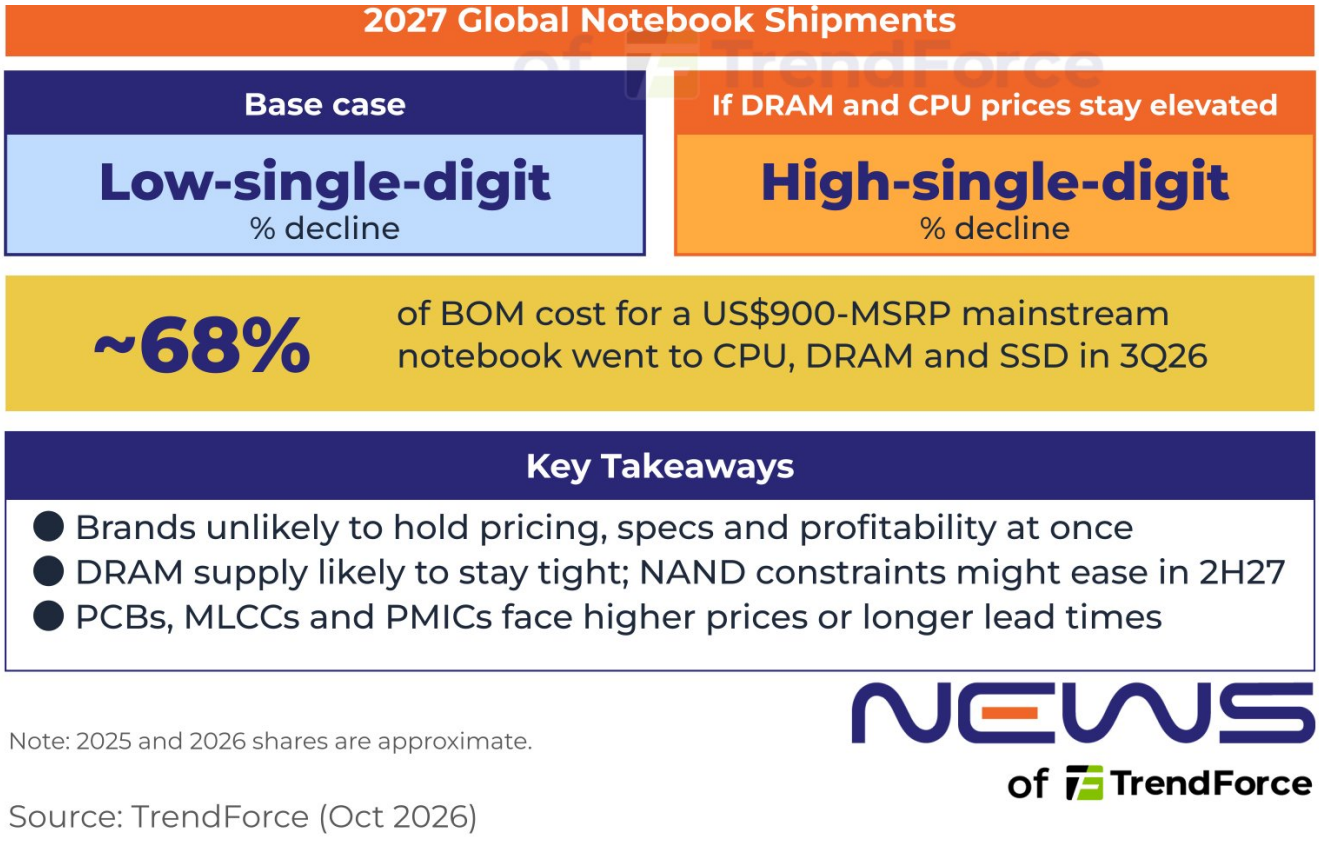
Original 7 October memory spot table; spot categories and units retained Original exhibit, panel 2 of 2; read from top to bottom.

Original image retained without downsampling. Its source post is 2107712530688725316. The spot article's unrounded 512Gb TLC comparison is -2.90%; calculating from the rounded image quotations need not give the identical percentage. This evidence supports a downside watch.

Rising Costs Threaten 2027 Notebook Demand, Says TrendForce



Original 8 October notebook demand infographic; CPU DRAM SSD manufacturing BOM scope Original exhibit, panel 1 of 2; read from top to bottom.



Original 8 October notebook demand infographic; CPU DRAM SSD manufacturing BOM scope Original exhibit, panel 2 of 2; read from top to bottom.

Original notebook image retained without downsampling; original attachment mapping is post 2108180622594461814. Related retained posts 2108211041330958824 and 2108232095164449007 discuss the same underlying release. Recovering the primary release does not prove that every original X long-text field was complete.

Bounded company proxy. Management's retained statement that datacenter/enterprise exceeds 60% of SSD/Storage gives historical PC exposure below 40%; it does not establish a 2027 contract mix. Use 40% as an upper historical PC-linked proxy. Omdia reports notebook/mobile-workstation unit shares of 50.8/64.8 = 78.3951% in Q1 2026 and 51.7/65.7 = 78.6910% in Q2. Those are internally consistent PC samples. Assume a notebook SSD wallet per device of 0.5x a desktop; around 78.5% units then imply roughly 65% of PC value. Neither the 0.5x relative wallet nor the resulting 65% is an issuer-reported revenue share. Different SSD capacities, controller ASPs and Kioxia OEM exposure can change it materially.

The existing reconstructed SSD growth path contains no separately identified notebook unit decline. A flat notebook-unit baseline is an explicit counterfactual proxy. The incremental risk subtracts a 3% global 2027 notebook-unit outcome, bounded 2-4%, with 60% probability. Only 50% transmits to supplier procurement after possible content growth, inventories, order floors and qualified enterprise redeployment; this 50% is a model assumption. Effective conditional loss is 1.5% of the notebook wallet. The historical PC proxy and notebook value proxy select 26% of SSD/Storage as the exposed notebook wallet.

For the joint NAND hypothesis use 50% probability of a 3% PC price discount on 50% of the PC wallet, assumed repriceable, beginning Q3 2027. A 50% repricing fraction is a bounded assumption. Apply it proportionally to PC notebooks and desktops; do not price-cut all enterprise or smartphone NAND. There is no incremental physical enterprise volume from hypothetical redeployment: existing enterprise growth already captures that demand.

Overlap and correlation. Unit-only / price-only / joint / neither weights are 20% / 10% / 40% / 30%. Marginals remain 60% and 50%. In a joint outcome, price is applied after the scoped notebook units are lost, so the shared unit-price cross-product is returned once; notebook and NAND evidence are not additive full-company demand shocks. Existing NAND growth, reference reconstruction, enterprise growth and product-cost normalization are retained. The model does not already identify this PC cohort's price discount; no automatic overlap credit is assigned to unrelated cost normalization. The upper PC proxy plus 50% transmission/repricing explicitly bounds exposure within the stated exposure bound.

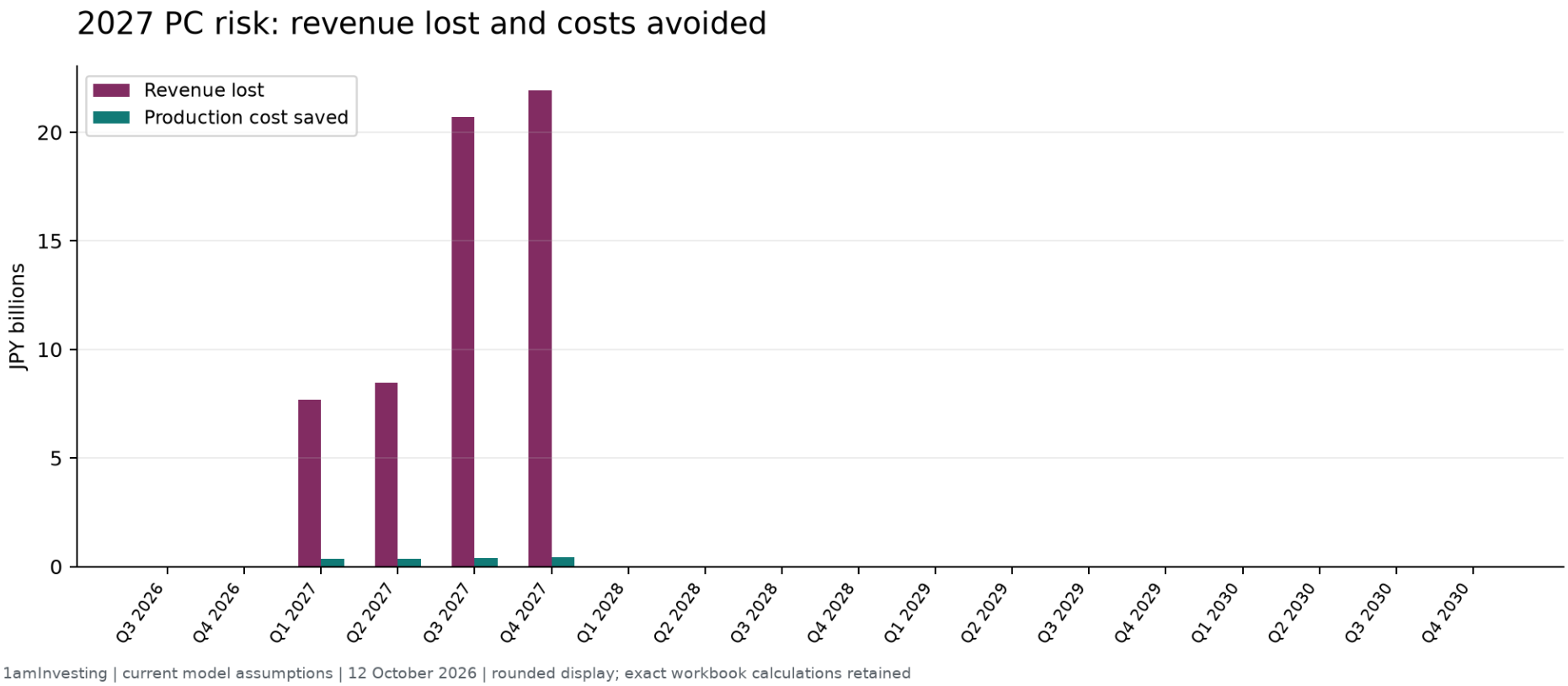
Costs and timing. On lost notebook units, avoid 50% of the scoped production-cost pool and retain the other 50% as fixed manufacturing, depreciation, qualification and related capacity costs. The 50% variable share is a labeled diagnostic assumption because issuer cash COGS versus D&A by notebook cohort is unavailable. All inherited quarterly opex dollars remain; lower revenue increases the effective opex ratio. Price discounts generate no production-cost saving. No capex is expensed dollar-for-dollar and no D&A is removed. Unit risk covers Q1-Q4 2027 only; price risk covers Q3-Q4 2027 only. No 2026 increment is selected from a 2027 unit forecast, and no 2028-2030 extrapolation is selected without duration evidence. The finite overlay is not a claim that pricing rebounds or units recover in 2028.

Redirection counter-evidence. Strong, often committed enterprise demand can absorb some shared NAND output. Finished PC SSD controllers, firmware, endurance bins and qualifications are not automatically interchangeable with enterprise SSDs, so one-for-one redirection is not established. Raw NAND bits, qualified saleable product and accepted customer revenue remain different stages. The 50% net transmission permits some mitigation without adding another enterprise growth shock. Refresh the proxy when Kioxia reports PC/client bit mix, content, procurement, contract floors, qualified product transfers and realized ASP.

Joint-state calculation and quarterly bridge

For reference SSD sales R and production cost C, PC fraction a=0.40, notebook wallet b=0.65, effective unit loss u=0.03x 0.50=0.015 and effective PC price loss d=0.03x 0.50=0.015: weighted revenue loss in H1 = R x 0.60 x a x b x u. In H2 add R x 0.50 x a x d and subtract the joint cross-product R x 0.40 x a x b x u x d. Weighted cost saving = C x 0.60 x a x b x u x 0.50. Operating-profit increment = -weighted revenue loss + weighted cost saving, with baseline opex retained. This applies the outcome probabilities once.

The corresponding revenue factors are exactly 0.99766 in Q1/Q2 2027 and 0.9946834 in Q3/Q4 2027. All other periods have factor 1.00000. Probability-zero controls reproduce all fifteen original ceilings. Numeric controls are guarded to their physical domains; missing/non-numeric input produces unavailable with its missing-input status.



2027 PC risk: revenue lost and costs avoided

Quarter	PC proxy JPYbn	Notebook proxy JPYbn	Revenue lost JPYbn	Costs saved JPYbn	OP increment JPYbn
Q3 2026	757.252174	492.213913	0.000000	0.000000	0.000000
Q4 2026	1,014.559006	659.463354	0.000000	0.000000	0.000000
Q1 2027	1,315.748571	855.236571	7.697129	0.355914	-7.341215
Q2 2027	1,445.074286	939.298286	8.453685	0.372856	-8.080829
Q3 2027	1,557.531429	1,012.395429	20.701929	0.395390	-20.306539
Q4 2027	1,650.308571	1,072.700571	21.935076	0.432678	-21.502399
Q1 2028	1,720.594286	1,118.386286	0.000000	0.000000	0.000000
Q2 2028	1,776.822857	1,154.934857	0.000000	0.000000	0.000000
Q3 2028	1,821.805714	1,184.173714	0.000000	0.000000	0.000000
Q4 2028	1,861.165714	1,209.757714	0.000000	0.000000	0.000000
Q1 2029	1,892.091429	1,229.859429	0.000000	0.000000	0.000000
Q2 2029	1,923.017143	1,249.961143	0.000000	0.000000	0.000000
Q3 2029	1,948.320000	1,266.408000	0.000000	0.000000	0.000000
Q4 2029	1,973.622857	1,282.854857	0.000000	0.000000	0.000000
Q1 2030	1,993.302857	1,295.646857	0.000000	0.000000	0.000000
Q2 2030	2,012.982857	1,308.438857	0.000000	0.000000	0.000000
Q3 2030	2,032.662857	1,321.230857	0.000000	0.000000	0.000000
Q4 2030	2,052.342857	1,334.022857	0.000000	0.000000	0.000000

Q4 2027 reference SSD revenue is JPY4,125.771428571428B. Weighted revenue loss is JPY21.935076377142856B; variable production-cost saving is JPY0.4326777B. Net OP increment is JPY-21.502398677142857B. Q1-Q3 2028 OP is unchanged, so that is also the increment to the active Q4 2027 forward-four-quarter profit window. The current 4.5x case reruns the cash and economic-share path in the opening chapter. The original operating increment remainsJPY-21.502398677142857B. Display rounding is not used in workbook arithmetic.

12 October 2026 operating-sensitivity valuation vintage

The selected point remains 3% notebook decline, 3% scoped PC price discount and 50% avoidable production cost. Vary one uncertain input at a time: 2-4% notebook units reflect the selected low-single-digit interpretation; 1-5% PC price discount is an ASTRA realization stress. The endpoints are diagnostics. All baseline opex dollars remain and all other controls, overlap, horizon, shares and method stay fixed. These are Q4 2027 valuation results from the one affected quarter in that four-quarter window.

Diagnostic	OP increment JPYbn	12 October 2026 valuation vintage JPY/share	Revision %
Selected case	-21.502399	68,737.225443	-0.116328%
Notebook decline 2%	-18.460704	68,748.549756	-0.099873%
Notebook decline 4%	-24.544093	68,725.901131	-0.132784%
PC price discount 1%	-13.315218	68,767.706540	-0.072036%
PC price discount 5%	-29.689580	68,706.744346	-0.160621%
No production cost avoidable	-21.935076	68,735.614572	-0.118669%
All scoped production cost avoidable	-21.069721	68,738.836314	-0.113988%

The historically bounded PC share itself can be lower than 40%; zero exposure removes the risk. The point uses the upper historical PC anchor and does not pretend that a precise forward issuer mix is known. The modest target revision reflects the small scoped wallet, joint arithmetic, existing enterprise growth and fixed costs.

3. Analytical score

The category arithmetic gives **47/60 = 78/100** after the existing -5-point risk deduction. The current Excel Base remains **78/100**. Risk-class detail appears in section 7.

Category	Points	Max	Basis
Core thesis	16	20	NAND technology, scale and JV assets; contract terms remain bespoke and incompletely disclosed.
Cycle stage	9	10	Very strong pricing and demand, with margins already elevated.
TAM expansion	10	10	AI inference, context storage, enterprise SSD and edge memory expand content.
Catalysts	4	5	Node transitions, customer agreements and new-fab milestones.
Macro	9	10	AI demand supports storage; yen sensitivity remains material.
Alpha	4	5	Japanese buyback completion and capital plan materially improve source precision.

Category	Points	Max	Basis
Risks	-5	0	Industry supply; FX; customer terms; financing/capital allocation; product mix and technology execution.

4. Product economics and quarterly operating model

Forecasts distinguish reported anchors, guidance and assumptions. These product production-cost pools are inherited analytical calibrations. The model retains non-GAAP OP as its custom operating-profit basis; it is not a new GAAP profit decomposition.

Vector evidence

Vector	Source / derivation	Confidence
SSD and Storage	Japanese application revenue; retained enterprise/datacenter >60% statement	HIGH actual revenue; LOW future PC mix and margins
Smart Device	Japanese application revenue; handset units, content and ASP	HIGH actual; LOW forward
Other	Japanese application revenue; modeled runoff	HIGH actual; LOW forward

Revenue at reference pricing

JPY billions. Reference amounts multiplied by the retained active NAND index produce revenues before the separately quantified PC overlay. The first vector then subtracts the weighted PC revenue loss. These are reconstruction inputs.

Quarter	SSD reference	Smart Device reference	Other reference	Active index	SSD risk loss
Q3 2026	1,539.130	480.870	58.261	1.2300	0.000000
Q4 2026	1,718.427	501.035	57.971	1.4760	0.000000
Q1 2027	1,937.888	530.021	57.971	1.6974	7.697129
Q2 2027	2,128.364	546.584	57.971	1.6974	8.453685
Q3 2027	2,293.996	559.006	62.112	1.6974	20.701929
Q4 2027	2,430.642	567.288	66.253	1.6974	21.935076
Q1 2028	2,534.161	571.429	66.253	1.6974	0.000000
Q2 2028	2,616.977	571.429	66.253	1.6974	0.000000
Q3 2028	2,683.230	571.429	66.253	1.6974	0.000000

Quarter	SSD reference	Smart Device reference	Other reference	Active index	SSD risk loss
Q4 2028	2,741.201	571.429	66.253	1.6974	0.000000
Q1 2029	2,786.749	571.429	62.112	1.6974	0.000000
Q2 2029	2,832.298	571.429	57.971	1.6974	0.000000
Q3 2029	2,869.565	571.429	53.830	1.6974	0.000000
Q4 2029	2,906.832	571.429	49.689	1.6974	0.000000
Q1 2030	2,935.818	571.429	45.549	1.6974	0.000000
Q2 2030	2,964.803	571.429	41.408	1.6974	0.000000
Q3 2030	2,993.789	571.429	37.267	1.6974	0.000000
Q4 2030	3,022.774	571.429	33.126	1.6974	0.000000

Product revenue build

JPY billions. SSD/Storage includes the scoped PC overlay; remaining vectors preserve their existing economics.

Quarter	SSD / Storage	Smart Device	Other	Total
Q3 2026	1,893.130	591.470	71.661	2,556.261
Q4 2026	2,536.398	739.528	85.565	3,361.491
Q1 2027	3,281.674	899.657	98.400	4,279.731
Q2 2027	3,604.232	927.771	98.400	4,630.403
Q3 2027	3,873.127	948.857	105.429	4,927.412
Q4 2027	4,103.836	962.914	112.457	5,179.208
Q1 2028	4,301.486	969.943	112.457	5,383.886
Q2 2028	4,442.057	969.943	112.457	5,524.457
Q3 2028	4,554.514	969.943	112.457	5,636.914
Q4 2028	4,652.914	969.943	112.457	5,735.314
Q1 2029	4,730.229	969.943	105.429	5,805.600

Quarter	SSD / Storage	Smart Device	Other	Total
Q2 2029	4,807.543	969.943	98.400	5,875.886
Q3 2029	4,870.800	969.943	91.371	5,932.114
Q4 2029	4,934.057	969.943	84.343	5,988.343
Q1 2030	4,983.257	969.943	77.314	6,030.514
Q2 2030	5,032.457	969.943	70.286	6,072.686
Q3 2030	5,081.657	969.943	63.257	6,114.857
Q4 2030	5,130.857	969.943	56.229	6,157.029

Product gross margins

Derived from current product revenue minus current production cost; forecast product margins are assumptions.

Quarter	SSD / Storage	Smart Device	Other
Q3 2026	85.51%	83.92%	81.30%
Q4 2026	88.55%	88.14%	85.93%
Q1 2027	90.74%	90.89%	88.97%
Q2 2027	91.17%	91.61%	89.68%
Q3 2027	91.28%	91.75%	89.83%
Q4 2027	91.00%	90.89%	88.83%
Q1 2028	90.47%	89.33%	87.05%
Q2 2028	89.76%	87.20%	84.78%
Q3 2028	88.97%	84.92%	82.22%
Q4 2028	88.19%	82.64%	79.65%
Q1 2029	87.41%	80.51%	77.24%
Q2 2029	86.70%	78.66%	75.24%
Q3 2029	86.06%	77.09%	73.54%
Q4 2029	85.49%	75.81%	72.18%

Quarter	SSD / Storage	Smart Device	Other
Q1 2030	84.99%	74.82%	71.12%
Q2 2030	84.56%	74.03%	70.34%
Q3 2030	84.21%	73.47%	69.77%
Q4 2030	83.92%	73.04%	69.34%

Production costs and baseline operating expenses

JPY billions. The price discount saves no production cost. Only the exposed lost notebook units save the assumed variable share; fixed costs and all baseline dollar opex remain.

Quarter	SSD production cost	Smart production cost	Other production cost	Opex
Q3 2026	274.350	95.116	13.400	115.032
Q4 2026	290.500	87.725	12.040	150.595
Q1 2027	303.844	81.920	10.850	191.648
Q2 2027	318.307	77.880	10.150	207.357
Q3 2027	337.545	78.300	10.725	221.676
Q4 2027	369.377	87.680	12.560	234.051
Q1 2028	410.040	103.500	14.560	244.967
Q2 2028	455.040	124.200	17.120	255.230
Q3 2028	502.200	146.280	20.000	264.935
Q4 2028	549.460	168.360	22.880	274.722
Q1 2029	595.605	189.060	24.000	283.894
Q2 2029	639.540	207.000	24.360	293.207
Q3 2029	679.140	222.180	24.180	301.945
Q4 2029	716.040	234.600	23.460	310.795
Q1 2030	747.995	244.260	22.330	319.014
Q2 2030	776.860	251.850	20.850	327.318

Quarter	SSD production cost	Smart production cost	Other production cost	Opex
Q3 2030	802.530	257.370	19.125	335.706
Q4 2030	824.900	261.510	17.240	344.178

Quarterly operating model

All rows are model forecasts, JPY billions. Non-GAAP OP = product GP minus baseline dollar opex.

Quarter	Revenue	Gross profit	Gross margin	Opex	Non-GAAP OP	OP margin
Q3 2026	2,556.261	2,173.395	85.02%	115.032	2,058.363	80.52%
Q4 2026	3,361.491	2,971.226	88.39%	150.595	2,820.631	83.91%
Q1 2027	4,279.731	3,883.117	90.73%	191.648	3,691.469	86.25%
Q2 2027	4,630.403	4,224.066	91.22%	207.357	4,016.709	86.75%
Q3 2027	4,927.412	4,500.843	91.34%	221.676	4,279.167	86.84%
Q4 2027	5,179.208	4,709.590	90.93%	234.051	4,475.539	86.41%
Q1 2028	5,383.886	4,855.786	90.19%	244.967	4,610.819	85.64%
Q2 2028	5,524.457	4,928.097	89.21%	255.230	4,672.867	84.59%
Q3 2028	5,636.914	4,968.434	88.14%	264.935	4,703.499	83.44%
Q4 2028	5,735.314	4,994.614	87.09%	274.722	4,719.893	82.30%
Q1 2029	5,805.600	4,996.935	86.07%	283.894	4,713.041	81.18%
Q2 2029	5,875.886	5,004.986	85.18%	293.207	4,711.779	80.19%
Q3 2029	5,932.114	5,006.614	84.40%	301.945	4,704.670	79.31%
Q4 2029	5,988.343	5,014.243	83.73%	310.795	4,703.448	78.54%
Q1 2030	6,030.514	5,015.929	83.18%	319.014	4,696.915	77.89%
Q2 2030	6,072.686	5,023.126	82.72%	327.318	4,695.808	77.33%
Q3 2030	6,114.857	5,035.832	82.35%	335.706	4,700.126	76.86%
Q4 2030	6,157.029	5,053.379	82.07%	344.178	4,709.201	76.48%

Forecast confidence is LOW for company-specific pricing realization, PC exposure, avoidable costs and long-range operating results. High source weighting does not resolve missing issuer mix, contract terms or D&A detail. The inherited exceptionally high modeled margins require continuing cost, qualification and realized-price checks; the narrow overlay does not certify the entire older model.

Annual model cross-check

Calendar year	Revenue JPYbn	OP JPYbn	OP margin
2027	19,016.755	16,462.885	86.57%
2028	22,280.571	18,707.078	83.96%
2029	23,601.943	18,832.938	79.79%
2030	24,375.086	18,802.050	77.14%

5. Forward four-quarter operating ceiling

Price = F4Q non-GAAP OP x quarter multiple x unit factor / average opening and ending economic shares. The unit factor is 1,000 for JPY billions and shares millions. Published Q3 2026 keeps its original target and share basis. The final three windows are incomplete.

Quarter	F4Q OP	Multiple	Economic shares	Price ceiling
Q3 2026	12,587.172730	4.000x	1,611.591771	31,241.591
Q4 2026	14,807.976826	3.000x	1,611.591771	27,565.250
Q1 2027	16,462.884955	3.375x	1,611.591771	34,476.620
Q2 2027	17,382.234570	3.750x	1,603.798554	40,643.122
Q3 2027	18,038.392394	4.125x	1,586.388854	46,904.243
Q4 2027	18,462.724481	4.500x	1,565.850612	53,058.868
Q1 2028	18,707.078183	4.500x	1,544.197277	54,514.959
Q2 2028	18,809.300429	4.500x	1,523.155422	55,570.069
Q3 2028	18,848.212223	4.500x	1,503.099739	56,428.029
Q4 2028	18,849.382577	4.500x	1,484.277721	57,147.137
Q1 2029	18,832.937709	4.500x	1,466.857722	57,775.351
Q2 2029	18,816.811629	4.500x	1,450.886595	58,361.317

Quarter	F4Q OP	Multiple	Economic shares	Price ceiling
Q3 2029	18,800.840566	4.500x	1,436.304773	58,903.782
Q4 2029	18,796.297383	4.500x	1,423.031543	59,438.836
Q1 2030	18,802.050194	4.500x	1,410.964419	59,965.528
Q2 2030	Unavailable	4.500x	1,399.993073	Unavailable
Q3 2030	Unavailable	4.500x	1,390.017714	Unavailable
Q4 2030	Unavailable	4.500x	1,380.947198	Unavailable

Mechanical share sensitivity

Economic-share denominator	Price ceiling
Selected Q4 2027	53,058.868
5% more economic shares	50,532.255
10% more economic shares	48,235.334

This table holds operating profit and the multiple fixed while changing the economic-share denominator.

6. Industry relationships and read-throughs

SanDisk is the most direct production cross-check. Samsung, SK hynix and Micron inform industry supply and allocation, subject to different product exposures. Longsys, ESMT and Penguin are downstream or fabless businesses with different replacement-cost exposure.

7. Risks and falsification tests

The following ledger makes the existing aggregate risk deduction explicit. It does not introduce another deduction or change the analytical score.

Risk class	Existing deduction
Industry capacity and NAND pricing	-1
Foreign exchange and translation	-1
Customer contract terms and concentration	-1
Financing and capital allocation	-1

Risk class	Existing deduction
Technology, yield and product mix	-1
Total	**-5**

Score, industry learning and triggers

The commercial cycle remains strong, while industry capacity, FX, customer-contract terms, capital allocation and technology/product mix are distinct risk classes.

Apply Kioxia's physical node and fab information to SanDisk's shared manufacturing base; apply sales contracts and equity changes only to their actual issuer. Watch signed LTA scope, bit growth versus pricing, achieved repurchases, new awards, K3 investment approvals and the actual depreciation consequences of the shared plan.

PC risk refinement and escalation tasks

Obtain Kioxia PC/client versus enterprise SSD bit and revenue mix; notebook/desktop GB and ASP; fulfilled notebook procurement versus sell-through; customer inventory and firm LTA minima; repriceable fraction and floors; and qualified capacity redeployment. Reconcile manufacturing cash costs, D&A and fixed qualification costs for the exposed cohort. Raise the bounded overlay if actual PC order/ASP misses exceed it, or reduce it if content, firm pricing/volume or accepted enterprise sales absorb the same exposure. Reassess persistence before applying any 2028+ increment. These are precise external watch tasks.

Numbered monitoring tests

#	Checkpoint	Evidence supporting the operating case	Counter-test / failure signal
1	Bits and mix	Reconcile product sales to bit output, ASP and enterprise qualification.	Market-size growth alone does not validate Kioxia share or margin.
2	Contracts	Track company-specific volume and pricing disclosures.	Borrowed contract terms from SanDisk do not establish protected Kioxia profitability.
3	Investment	Reconcile capex and R&D with the production ramp and cash generation.	Capacity spending without yield or cash conversion weakens the case.
4	Share units	Reconcile repurchases and apply the stock split consistently to all denominators and ceilings.	Mixed pre/post-split units create a purely mechanical valuation error.

8. Sources, evidence gaps and model snapshot

- **TF-1** · Supplied September 20, 2026 · TrendForce NAND pricing update supplied in this conversation: Q3 2026 +18-23%; Q4 +15-20%. The owner selected +23% and +20% and ranked TrendForce Tier 1 alongside Serenity. The underlying updated table was not independently retrieved. Kioxia's reference-price reconstruction uses the separately supplied prior upper bounds solely as analytical denominators.

Sources below are those documented in the retained company research and this pricing update. LOW-confidence product allocations, future margins, capacity bridges and incomplete management-call records remain unresolved where stated. Integrating the original research does not itself resolve all current-framework evidence gaps.

- **KIO-1** · 2026-07-31 · Japanese Q1 earnings filing, year ending March 2027. Exact group/application revenue, non-GAAP and IFRS OP, guidance, issued/basic shares and diluted EPS.
- **KIO-2** · 2026-07-31 · Latest management earnings call transcript. Reproduced English interpretation of management; source numerical transcription checked against Japanese filing.
- **KIO-3** · 2026-08-10 · Japanese buyback completion notice. 48.4005M split-adjusted shares repurchased; JPY800B authorization exhausted and program completed.
- **KIO-4** · 2026-08-27 · Japanese joint investment disclosure. About JPY5T investment jointly with SanDisk through 2032, conditional on government support.
- **KIO-5** · 2026-08-27 · Japanese KitakamiK3 announcement. Target operations in FY2029; detailed equipment timing follows market demand and government support.
- **KIO-6** · 2026-07-31 · Official three-for-one split notice, English translation. Exact 3:1 ratio confirmed from the share-count arithmetic. September 30 record date and October 1 effective date. Reverified September 28, 2026; original Japanese notice controls in case of translation discrepancy.
- **KIO-7** · 2026-09-01 · Supplied current model and framework - User upload:285A_T_Q_Model and Framework 6.0. Sanctioned 6x non-GAAP OP multiple; conditional operating trajectory.

The unchanged original source document is retained separately for full research provenance. It is an archive. Superseded score/ceiling tables are not incorporated into this active artifact.

- **JF-1** - Supplied September 21, 2026: Jeff Pu (@sssjeffpu) and Jukan (@jukan 05), "NAND Pricing Breakout Driven by eSSD" summary in the owner's conversation. Quoted Q3 2026 / Q4 2026 / Q1 2027 blended NAND changes: +21% / +17% / +15%, citing TrendForce demand research. Only the Q1 +15% is newly adopted; the owner retains +23% and +20% for 2026. This is an owner-authorized combined case. The original analyst note and exact TrendForce table were not independently retrieved. Enterprise demand commentary is contextual and adds no shipment volume to this update.

Recovered original counter-evidence and calibration

- **TF-PC-1** - 8 October 2026: TrendForce original notebook release, English and Chinese. Low-single-digit 2027 notebook decline, manufacturing BOM scope and pricing pass-through counter-evidence. Full substantive bodies and original infographic reviewed.
- **TF-SPOT-1** - 7 October 2026: Original memory spot update. Scoped spot units and original table.
- **TF-CONTRACT-1** - 30 September 2026: Original contract outlook. Q4 conventional DRAM +10-15%, NAND +15-20%, enterprise commitments and consumer budget pressure.

- **TF-NAND-1** - 21 July 2026: Original NAND supply analysis. 2026 shortage and conditional H2 2027 balancing; not a second October event.
- **OMD-PC-1** - 9 April 2026: Omdia Q1 PC release. 50.8M notebook/mobile-workstation units within 64.8M PCs; global unit calibration only.
- **OMD-PC-2** - 9 July 2026: Omdia Q2 PC release. 51.7M within 65.7M; global unit calibration only. The assumed relative SSD wallet is not in these sources.

Research transport is Grok run XDATA-20261011-1252-ET-ESA9, correction revision R1. Source recovery review is 12 October. Stock posts 2107712530688725316, 2108211041330958824 and 2108232095164449007 share event MEMORY-PC-COUNTEREVIDENCE; the notebook original-image attachment retains its distinct source-post mapping 2108180622594461814. Original HTML and image SHA-256 records are retained with the review. Known full-X-text limitations remain distinct from recovered primary evidence. The operative probabilities, PC wallet, repricing, transmission and cost shares are ASTRA model assumptions as selected by ASTRA.

Current model snapshot: 28 October 2026, Framework 8.0. Eighteen operating quarters and fifteen complete valuation windows. ActiveQ4 2027 price ceiling JPY53,058.867521 uses 4.5x F4Q non-GAAP OP and 1,565.850611733M economic shares. The opening chapter contains the complete cash/share law and separate ordinary-dividend income. Operating probabilities, revenue, cost, OP and protected Base remain. Q3 2026 published history is preserved.

16 October 2026: NAND pricing risk assessment - evidence only

16 October 2026 valuation vintage: Q4 2027 targetJPY68,737; Excel Base 78 and analytical Base 78. This dated risk assessment preceded the 28October capital-return and multiple update. The opening chapter gives the current price ceiling.

Decision

Completed source-risk assessment with an external watch. Financial inputs and targets are unchanged.

New counter-evidence

The dated 9 October bank report raises its earlier NAND forecast but retains a slower later price path, including about a 13% decline in blended industry selling prices in 2028. Its prior upgrade is not extra growth above our higher existing price case. Consumer weakness and strong enterprise demand have different product and contract scopes.

ASTRA screening judgment

Use a 30% subjective normalization-risk screening weight with a conditional 5-15% manufacturer realized-price shortfall below the current company path, midpoint 10%, starting only in calendar 2028.

Economic bridge

Eligible future NAND receipts times the residual realized-price shortfall determines lost revenue. Hold accepted bits, manufacturing costs and dollar operating expenses unchanged in the conservative bound. Do not expense cash capex again or add a second scarcity, volume or probability factor.

Contract eligibility

The issuer targets LTAs for about 50% of calendar-2028 shipment volume, mainly Datacenter and Enterprise. Terms are customer-specific and confidential. The public Q&A does not establish a uniform floor, ceiling or fixed-price share. The medium-term goal above 60% of total revenue for Datacenter and Enterprise is a different denominator from the current SSD/Storage mix.

Issuer contract evidence: Issuer Investor Day Q&A, 2 June 2026, page 1; complete relevant page visually verified. Growth-strategy script, page 9, separates the mix goal.

Original bank evidence

	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
NAND (256Gb equiv) Sales (US$bn)																
New	48.4	85.7	111.5	121.5	121.8	121.7	126.0	128.3	73.3	67.3	42.4	78.1	81.0	367.2	497.8	513.3
Old	48.4	85.7	106.9	116.5	116.7	116.6	120.7	123.0	73.3	67.3	42.4	78.1	81.0	357.5	477.0	491.9
Diff	nm	nm	4.3%	4.3%	4.3%	4.3%	4.3%	4.3%	nm	nm	nm	nm	nm	2.7%	4.3%	4.3%
Shipments (bn units)																
New	9.0	9.6	10.4	11.0	11.0	11.4	12.4	13.0	21.3	22.6	26.6	29.5	33.2	40.0	47.7	56.3
Old	9.0	9.6	10.4	11.0	11.0	11.4	12.4	13.0	21.3	22.6	26.6	29.5	33.2	40.0	47.7	56.3
Diff	nm	nm	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	nm	nm	nm	nm	nm	0.0%	0.0%	0.0%
Bit growth - sequential																
New	-2.2%	6.3%	8.4%	5.8%	0.1%	3.1%	9.0%	5.0%	37.8%	6.1%	17.6%	11.2%	12.5%	20.4%	19.3%	18.0%
Old	-2.2%	6.3%	8.4%	5.8%	0.1%	3.1%	9.0%	5.0%	37.8%	6.1%	17.6%	11.2%	12.5%	20.4%	19.3%	18.0%
Diff	nm	nm	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	nm	nm	nm	nm	nm	0.0%	0.0%	0.0%
ASP chg - sequential																
New	86.6%	66.8%	20.0%	3.0%	0.1%	-3.1%	-5.0%	-3.0%	-9.1%	-13.5%	-46.4%	65.5%	-7.8%	276.5%	13.6%	-12.6%
Old	86.6%	66.8%	15.0%	3.0%	0.1%	-3.1%	-5.0%	-3.0%	-9.1%	-13.5%	-46.4%	65.5%	-7.8%	266.5%	11.9%	-12.6%
Diff	nm	nm	5.0%	0.0%	0.0%	0.0%	0.0%	0.0%	nm	nm	nm	nm	nm	10.0%	1.8%	0.0%
Blended ASP (US$)																
New	5.4	8.9	10.7	11.1	11.1	10.7	10.2	9.9	3.4	3.0	1.6	2.6	2.4	9.2	10.4	9.1
Old	5.4	8.9	10.3	10.6	10.6	10.3	9.8	9.5	3.4	3.0	1.6	2.6	2.4	8.9	10.0	8.7
Diff	nm	nm	4.3%	4.3%	4.3%	4.3%	4.3%	4.3%	nm	nm	nm	nm	nm	2.7%	4.3%	4.3%

Source: BofA Global Research estimates, industry data. Chg = change. Equiv = equivalent

BofA original page 4 column-header and NAND detail crops; original source numbers and units preserved.

Global memory tech - October 9, 2026.pdf, BofA Global Research, report 13026015, page 4. Headings and NAND rows are separate original-pixel detail crops. Industry selling price per 256Gb equivalent is not a matched company contract price.

Screening disposition and overlap

A narrow non-LTA proxy uses the planned half-volume exposure and an explicit equal-price assumption for receipts. At the midpoint stress and screening weight, its effect stays below 2% in the examined windows. It is queued. LTA pricing may still vary, and planned coverage is not confirmed fixed-price protection.

The existing PC price/unit state affects calendar 2027. A 2028 continuation belongs to the same easing hypothesis. Existing production-cost normalization is not a price cut. Keep its costs, volumes and correlated-state treatment intact.

The wider upper endpoint can reduce full calendar-2028 forward profit by about 5% at the screening weight. At greater eligibility it can cross the rebuild gate; the price terms do not identify that eligibility today.

Exact internal conditional bounds are retained in 285AT_Kioxia_DeepDive_Pricing_Risk_Assessment_2026-10-16.json. They are unimplemented diagnostics.

Precise follow-up: receipt weighting; fixed/variable price fraction; forecast price above floor; calendar-quarter coverage and reset dates; matched manufacturer product/grade/customer cohort. The source-risk review is complete with these external watch tasks. This does not mean every risk is applied, that broad exposure is proven immaterial, or that a required financial model change is blocked.